Chan Charts
Daily crypto chart quiz

FREE GUIDE #04

Fakeouts & Liquidity Sweeps

Why breakouts fail, and how to trade the trap



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What a fakeout looks like

Price pokes above resistance, breakout buyers jump in, then price closes back inside the range. Those buyers are now trapped.



- The signal is the **close** back inside the level, not the wick.
- Trapped buyers become sellers when they exit, which pushes price down faster.

The stop loss sweep

Many traders put stop losses just below obvious support. Big players push price into those stops to fill large orders, then price reverses.



READ IT LIKE THIS

Wick below support + close back above = sellers ran out. Buyers took control.

THE SETUP

Trading a sweep

1. **Spot the level**
   An obvious support/resistance with many touches
2. **Wait for the sweep**
   A wick through the level that grabs stops
3. **Confirm**
   The candle closes back inside. Even better: next candle confirms
4. **Enter**
   Stop beyond the sweep wick. Target the other side of the range

REAL BREAKOUT OR FAKEOUT?

Real breakouts usually close strongly outside the level with high volume, and hold on the retest. Fakeouts close back inside within 1 to 3 candles.

CHECKLIST

Fakeout checklist

- [ ] Obvious level that everyone can see
- [ ] Wick through the level, but close back inside
- [ ] Volume on the breakout candle is weak, or the rejection is strong
- [ ] Stop beyond the wick extreme
- [ ] Target the opposite side of the range

LESSON FOR BREAKOUT TRADERS

Do not buy the first wick above resistance. Wait for a candle close and a retest.

Now test yourself.

Reading a guide is step one. Spotting the setup on a live chart, fast, is the real skill. That is what the daily quiz trains.

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